# Wealth Forecast & Readiness

START HERE

Quick-start guide — how the forecast works and how it decides you're ready to retire.

This tool projects your wealth from today to age 100 and tests whether you can retire — including **early**, before super unlocks. Everything updates live as you type. Work left-to-right: **Your Plan** → **Your Assets** → **read the results.** This guide explains the two things people ask most: **how each asset grows** (page 2) and **how "retirement ready" is decided** (below).

## HOW TO USE IT — 3 STEPS

**1** **Fill in "Your Plan"**

Age now, the age you want to **retire**, your **preservation age** (when super unlocks — usually 60), and your **annual spending** in today's dollars. The readiness target is derived automatically as **34× spending**.

**2** **Add "Your Assets"**

Add what you own — **super**, **UniSuper Defined Benefit**, **shares**, **cash**, **investment property**, and your **home**. For each: balance, expected return, and (where relevant) contributions or loan + repayments.

**3** **Read your results**

The readiness cards tell you if you're on track (green ✓). The **Wealth Trajectory** chart shows the whole arc; the **Accumulation** and **Decumulation** tables show, year by year, what you hold and what you draw.

## THE CORE IDEA

### Retiring early has two problems

You can be *wealthy enough* yet still fail early retirement on **liquidity**. So the model asks two separate questions: **(1)** is there enough wealth overall, and **(2)** can you access enough of it *before* super becomes available?

### Why the home is excluded

Your home earns no income unless you downsize or borrow against it — it's a lifestyle asset, not a retirement-funding asset. It sits outside the nest-egg tests (but its refinance capacity helps the bridge).

## THE READINESS TEST — THREE QUESTIONS

You're **retirement ready** when both permanent checks (① & ②) pass **and** you clear the bridge (③) by either route. Everything is measured in today's dollars, at the first age you qualify, so figures line up directly with the targets.

### 1 Big-enough nest egg — the 34× rule

```
Super + Shares + Cash  ≥  34 × annual spending
```

The classic financial-independence number. **34× ≈ a 2.9% withdrawal rate** (1 ÷ 34), deliberately more conservative than the well-known "4% rule" (25×) — because an early-retirement portfolio may need to last 40–50 years, and a lower draw leaves more safety margin. It answers: *"if I stopped working permanently, do my productive assets fund my lifestyle?"*

> **Example** — $60k spending → target = 60,000 × 34 = **$2.04m** in investable assets (home not counted).

### 2 Growth engine — the 27× rule

```
Shares + Super  ≥  27 × annual spending
```

Cash alone can't sustain a long retirement — inflation erodes it. Enough of your money must stay **invested**. 27× ≈ a 3.7% capacity from growth assets. The gap between 34× and 27× is intentional: **34× tests sustainability, 27× tests that the portfolio keeps growing.**

> **Why two checks** — $2m cash + $1m shares/super *passes* ① but *fails* ②: too much dead capital. $1.5m shares/super + $100k cash may pass ② but fail ①: too little wealth. The pair guards against both failure modes.

### 3 Bridge to preservation — surviving until super unlocks

If you retire at 52 and super unlocks at 60, there are `x = 8` years where super exists but you can't touch it. You must fund that gap from accessible money, plus a **security buffer** (extra years you set in Your Plan). Pass **either** route (**x** = years to preservation; **Cash Bucket** = cash + 80%-LVR home refinance):

#### ③ⓐ Split

```
Shares ≥ 27 · x/(x+40)
and Cash Bucket ≥ 7×
```

A two-stage portfolio: cash + home equity + some shares cover the bridge, then super takes over. The `x/(x+40)` term is an early-retirement penalty — retire earlier, hold more liquid assets. **Retire at 52:** 8/48 = 17% → shares ≥ 4.5× spending. **Retire at 59:** 1/41 = 2.4% → barely any bridge.

#### ③ⓑ Bridge bucket

```
Shares + Cash Bucket ≥ (x+buffer)×
```

The simpler alternative: ignore portfolio design, just prove you hold enough accessible money to survive to super — plus a **security buffer** (extra years, set in Your Plan). **Retire at 52, 2-yr buffer, $60k spend:** need (8+2) × 60k = $600k. $350k shares + $250k cash → passes.

> **After preservation age, x = 0** — the bridge clears automatically, so readiness is simply ① + ②.

## IN ONE LINE EACH

| LAYER | QUESTION IT ANSWERS |
|---|---|
| ① 34× | Can I afford retirement **forever**? |
| ② 27× | Will my assets **keep growing**? |
| ③ Bridge | Can I **survive before super unlocks**? |

Together they avoid the classic Australian-FIRE mistake of treating super as either *fully available* (too optimistic) or *irrelevant* (too conservative). Super is a powerful engine — early retirees just need a temporary bridge to reach it.

# How each asset grows

REFERENCE

What the projection does to every asset, year by year — plus assumptions.

Every asset compounds at **its own return** and, where relevant, receives contributions until you retire. All returns can be shifted together by the **Market scenario** (Bad / Base / Good) in the Testing panel to stress-test sequence risk. Growth on super & shares is applied at the index rate; tax is realised only on sale.

## THE ASSET TYPES

### Super / SMSF

Balance compounds at its return each year and receives contributions while you're working. Grows untaxed at the index rate; locked until **preservation age**.

`next = balance × (1 + return) + contributions`

### UniSuper Defined Benefit

Not a balance — an **entitlement** built from benefit salary × years of service × age & service factors, growing with salary growth and service. Any accumulation-account component grows at its own return. Taken as a **lump sum at retirement**.

`benefit = salary × service × factors`

### Shares / ETF

Balance compounds at its return plus regular contributions (dollar-cost averaging). Milestones flag when annual **return** overtakes your annual **contribution**.

`next = balance × (1 + return) + contributions`

### Cash & term deposits

Grows at its interest rate — no contributions modelled. This is your **liquid, always-accessible** pool, and the source spending is drawn from first.

`next = balance × (1 + rate)`

### Investment property

Value compounds at capital growth. Rent (value × yield) minus outgoings, loan interest and principal flows to cash — a rental loss gives a negative-gearing tax benefit. Sold at the sell age (default = retirement): CGT at the non-super rate (no 50% discount), net proceeds → cash. Table shows **equity = value − loan**.

`value × (1+growth); equity = value − loan`

### Home (PPOR)

Value compounds at capital growth; the loan amortises as repayments pay it down. Equity rises from **both** sides. At retirement it can be refinanced to **80% LVR** to bank a cash buffer for the bridge.

`equity = value − loan; refi = 0.8·value − loan`

## HOW THE PLAN ACTUALLY PAYS YOU IN RETIREMENT

**① At retirement**
Refinance the home to 80% LVR and bank the cash as a security buffer. Super & DB become the long-term engine.

→

**② Bridge years (before 60)**
Spending is paid from **cash**, topped up from **shares** as needed. Super stays locked and keeps compounding.

→

**③ Pension years (after 60)**
Super unlocks — spending is drawn from it (never below the ATO minimum drawdown). Shares keep compounding.

## TWO MORE THINGS TO KNOW

### Today's $ vs Future $

Toggle at the top of the results. **Today's $** = money you understand now (inflation stripped out). **Future $** = the actual larger nominal numbers. Targets are always in today's money.

### Stress-test it

In the 🧪 Testing panel, switch **Market scenario** to **Bad** to lower every return by the swing, or add a one-off **Sequence Shock** (a crash in a chosen year). If you still don't run out, you're robust.

## KEY MULTIPLES, AT A GLANCE

| RULE | ≈ DRAW | TESTS |
|---|---|---|
| **34×** | 2.9% | Total capital |
| **27×** | 3.7% | Growth assets |
| **7×** | — | Cash for bridge |
| **(x+b)×** | — | Whole bridge + buffer |

**x** = years from your age to preservation; **b** = your Security buffer (extra years, set in Your Plan). All multiples are applied to your **today's-dollar annual spending**.

### ⚠ GOOD TO KNOW (ASSUMPTIONS)

Returns are fixed estimates, not real market ups-and-downs. Tax on shares/super is applied only on sale, at a flat rate (no franking credits; property CGT takes no 50% discount). The 80% refinance at retirement assumes a lender will offer it. Defined Benefit is treated as a lump sum taken at retirement.

### NOT FINANCIAL ADVICE

*This is an educational planning sandbox to explore scenarios — a guide only. It is not financial, tax, or retirement advice. Check important decisions with a licensed adviser.*